One method of lowering the real fiscal deficit is to deduct a revenue or capital receipt from expenditure. This brings down the headline aggregate expenditure and fiscal deficit. Equity investment expenditure in PSBs, for example, has been accounted for in the Budget and accounts in the last four years (from financial year 2017–18) by deducting the funds raised by issuing bonds to the banks from equity investment expenditure. Equity infusion in PSBs is a legitimate expenditure of the government and bonds issued are like any other borrowings made by the government. This investment should have fiscal deficit implications equal to the investment made. However, by treating it in this manner, the fiscal deficit is artificially reduced.

The reverse implication arises when a government claims to have incurred expenditure on a public welfare measure by transferring funds to the personal deposit (PD) of a department of the government, illegally maintained in the Public Account. Several state governments resort to this kind of manufactured expenditure by transferring budgeted funds to such PD accounts to claim reimbursement from the Centre or simply to ‘save the funds from lapsing’.

Even bigger skulduggery takes place when public expenditure is carried out entirely outside the CFI. This may be done by raising debt/liabilities in accounts maintained in the Public Account, in deposit accounts of departments maintained with banks, in SPVs created to meet specific expenditures, or by entering into special arrangements with government-owned organizations to finance government expenditure from their own fund or funds raised for such expenditure. Some examples of such practices are food subsidy paid for by the NSSF account kept in the Public Account, the toilet programme and housing subsidies met from FSBs raised by SPVs of the government, and expenditure from the Agri Infra Fund and Animal Husbandry Fund raised by NABARD.